

The Trajectory of American Corporate Governance: Shareholder Empowerment

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Introduction

Shareholder power and activism are topics of enormous current interest in the United States and around the world. The prospect of greater shareholder involvement in corporate governance has been welcomed and encouraged in some jurisdictions, such as the United Kingdom,² yet has been met with widespread apprehension in the United States. There is a paradox here. Although the United States is generally regarded as the birthplace of shareholder activism, in fact, US shareholders have traditionally possessed far fewer corporate governance rights than shareholders in other common law jurisdictions, such as the United Kingdom and Australia.

This article discusses the trajectory of corporate governance in the United States, with particular attention to the regulatory distinction between shareholder protection and participation in corporate governance. It examines evolving shareholder rights in the context of the US shareholder empowerment and proxy access debates, and considers recent

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² Both the United Kingdom and Japan, for example, recently introduced Shareholder Stewardship Codes (FRC 2012; JSC 2014), which are designed to encourage greater shareholder involvement in corporate governance.

corporate governance developments, which potentially readjust the balance of power between shareholders and the board of directors in US corporations.

The article also explores the intriguing question of why shareholder empowerment is such a hot button issue in the United States, compared, for example, to the United Kingdom. In examining this issue, the article looks to legal history. It considers the distinctively different origins and trajectories of corporate law in the United States and the United Kingdom, and the complex interplay between law and private ordering, and between mandatory and optional rules, in these two jurisdictions. As the article shows, organizational origins matter, and differences in those origins can lead to fundamental differences in the structure of legal regimes.

1. Shareholder Power and Regulation: The Distinction Between Shareholder Protection and Participation in Corporate Governance

Power is deeply implicated in how we view shareholders and their role in the corporations. Various shareholder images have existed across time and jurisdictions (Hill 2015; Schön 2000). Some of these images (such as shareholders as “dispossessed owners” or “beneficiaries under a trust”) are constructed on the assumption that shareholders are powerless and need protection. Others (such as shareholders as “participants in a political entity”, “gatekeepers” or “stewards”) presume that shareholders possess a certain level of power and ability, which can be used as a regulatory technique in its own right. (Hill 2000).

Yet, the concept of power generally, and shareholder power in particular, is elusive and by no means easy to define (Moore 2013, 17-18; Wells 2015, 13). Power can be held individually or collectively; can be used to influence both corporate controllers and lawmakers (Wells 2015; Davies 2015), and is often most effective when invisible (Becht, Franks and Grant 2015). Although economic power and legal power are theoretically distinct, they are interrelated, since economic power can be used to lobby and leverage stronger legal rights, and to legitimize certain corporate actors. Shareholder empowerment through strong legal rights is closely connected to investor activism. The two are not, however, coterminous. Shareholder passivity can exist even when shareholders possess strong level rights (Goto 2014).

Corporate regulation “occurs in many rooms” (Galanter, 1981, 1). It encompasses an array of techniques to control conflicts of interest and ensure accountability within the corporation (Hansmann and Kraakman, 2009, 38). These techniques lie across a regulatory spectrum that is closely linked to shareholder power. At one end of the spectrum are “regulatory strategies”, which are designed to protect shareholder interests and control agency problems, by means of prescriptive legal rules, such as fiduciary duties (Hansmann and Kraakman, 2009, 39-41). Regulatory strategies are protection-focused, and premised on the assumption that shareholders are vulnerable and incapable of safeguarding their own interests.

At the other end of this spectrum lie “governance strategies”. In contrast to regulatory strategies, governance strategies are generally focused on shareholder empowerment. They seek to address the inherent power disparity between shareholders and the board of directors (Hansmann and Kraakman, 2009, 42-43), by granting shareholders specific legal rights, such as “appointment rights” to control the composition of the board of directors and “decision rights” to intervene in certain firm decisions.³ These governance strategies promote shareholder participation, as a form of self-protection, and as an accountability mechanism in its own right.

The effectiveness of shareholder empowerment via governance strategies is context-specific and depends on corporate ownership structure. Where ownership is dispersed, shareholder empowerment represents a counterweight to centralized board power, and acts as a constraint on the board’s discretion and autonomy. Its effectiveness in these circumstances will also depend on the sophistication of shareholders. However, in concentrated ownership settings, including state-owned enterprises, ultimate control will rest with the majority shareholder/s (Bebchuk and Hamdani 2009; Hopt 2009). Here, shareholder empowerment will be irrelevant, or even counterproductive, as an accountability device (Lan & Varottil 2015; Kim 2015). Rather than providing a check and balance on another locus of power, in these circumstances, governance strategies involving shareholder power merely bolster the power status quo.

³ A third type of governance strategy, the so-called “agent incentives” strategy, operates differently from the “appointment rights” and “decision rights” strategies. The “agent incentives” strategy - of which perhaps the best-known example is pay for performance - provides incentives to motivate corporate managers to act in the best interests of shareholders, without the need for shareholder intervention or participation (Hansmann and Kraakman, 2009, 42-43).

2. The Rise of “Agency Capitalism” and its Regulatory Implications

Over the last century, there has been a major shift in the profile of shareholders of public corporations, which affects the use of regulatory strategies and governance strategies. *The Modern Corporation and Private Property* (Berle and Means 1932) famously portrayed shareholders as dispersed and marginalized group, in need of legal protection due to their inability to act collectively. By the 1990s, however, the rise of powerful institutional investors challenged that familiar picture of corporate law (Black 1990), making shareholder participation and activism in corporate governance a real possibility (Gillan and Starks 1991; Becht et al 2009; Black and Coffee 1994). This activist theme continued the following decade with the emergence of hedge funds, which experimented with new activist techniques and strategies (Bratton 2007; Cheffins and Armour 2011; Kahan and Rock 2007).

Today, the dominant shareholders of public companies in many, but by no means all, jurisdictions are financial institutions broadly defined. In the United States, institutional investor shareholding in the top 1,000 American companies has risen from less than 10% in the early 1950s to over 70% (Thompson 2015, 447; Conference Board 2014, 9). In the United Kingdom, where institutional ownership has long been high, currently individual investors hold only around 10% of listed UK equities. The remainder is in the hands of financial institutional investors, but significantly, approximately half of these institutions are now non-UK-based (Davies 2015, 356). Financial intermediaries are increasingly important in jurisdictions, such as Australia, where the introduction of a mandatory private pension (“superannuation”) system in the early 1990s led to massive growth of financial intermediation.⁴

The dominance of financial institutions in the United States, coined by Professors Gilson and Gordon as “agency capitalism”, has profound regulatory implications (Gilson & Gordon 2015). These institutions are fundamentally different from individual investors, in terms of their structure, incentives and behavior. Economically powerful financial institutions can potentially use governance strategies, such as appointment rights and decision rights, to

⁴ Australia’s superannuation investment funds, which now stands at A\$1.5 trillion, is the largest pool of funds under management in the Asia-Pacific region, and the fourth largest in the world (Towers Watson 2013, 13, 20). It has been predicted that these superannuation funds will eclipse those of the entire Australian banking system within 20 years (FSI 2014, ch 2).

protect their own, and other shareholders', interests vis-à-vis the board of directors and corporate management. However, one aspect of contemporary agency capitalism is that such financial institutions are "sophisticated but reticent". They are unlikely to be first movers, but have a deep understanding of underlying economic and financial issues, and can be prompted by other market players into supporting activism (Gilson & Gordon 2015).

Since the global financial crisis, some jurisdictions, such as the United Kingdom and Japan, have encouraged greater shareholder dialogue with management and activism, through Shareholder Stewardship Codes (FRC 2012; JSC 2014).⁵ The Codes are voluntary and adopt a principles-based, "comply or explain" approach.⁶ There have been analogous reforms in the broader European context.⁷ These international developments are consistent with Gilson and Gordon's theory of agency capitalism (Gilson & Gordon 2015). They assume that institutional investors have a valuable role to play in corporate governance and that this role may, in appropriate circumstance, include activism.

However, an alternative, and fundamentally contradictory, image of shareholders pervades much contemporary US corporate law commentary. This is that shareholders are predatory and/or disloyal to their ultimate beneficiaries (Mitchell 2009; Strine 2015, 38). Another concern is that rational apathy may lead institutional investors to delegate voting decisions to proxy advisers, which may themselves be ill-informed, biased or conflicted. From the perspective of regulatory diagnosis and prescription, such an image of shareholders provides policy justifications for restricting, rather than expanding, their corporate governance rights. It also potentially suggests a radical shift in corporate law, from a traditional focus of protecting shareholders to a new goal of protecting the corporation from its shareholders, and shareholders from each other (Hill 2015, 57). This shift is encapsulated in a 2015 recommendation of Martin Lipton that any new legislation/regulation should include protection for companies against shareholder pressure (Lipton 2015b, 7).

⁵ Other jurisdictions, such as Hong Kong, have now followed suit. In March 2015, the Securities and Futures Commission ("SFC") released a consultation paper, which proposed introducing an analogous code, entitled The Principles of Responsible Ownership, in Hong Kong (SFC 2015) to encourage fund managers to be "more aggressive in their ownership responsibilities (Yiu 2015). Unlike the UK and Japanese Stewardship Codes, the Hong Kong version applies not only to institutional investors, but also to retail investors (Newcombe 2015).

⁶ Although "comply or explain" regulation is a familiar part of the UK corporate governance landscape, it is entirely new to Japan (JSC 2014, 4, 13; Osaki 2014, 2).

⁷ Recent revisions to the EU Shareholder Rights Directive are designed to enhance shareholder engagement in listed EU companies (EC 2014).

These contradictory approaches to the role of shareholders in corporate governance have led to intriguing policy and reform questions about shareholder rights, power and activism in recent times.

3. The US Shareholder Empowerment Debate

Nowhere is the tension between competing images of shareholders and their role in corporate governance, including the dichotomy between shareholder protection and participation, more evident than in the shareholder empowerment debate. This debate, which was essentially US-specific, emerged just prior to the global financial crisis, although its roots arguably go back several decades earlier (e.g. Cary 1974, 666).

The shareholder empowerment debate related to whether US corporate law should make greater use of governance strategies involving appointment and decision rights, to bolster the position of investors vis-à-vis the board of directors.⁸ On one side of the debate, Professor Bebchuk advocated enhanced use of governance strategies in several key areas of US corporate law, including director elections and amendment of corporate constitutions.⁹ In the director election context, Bebchuk proposed “proxy access” reforms, which were designed to give US shareholders stronger rights in the director nomination process for contested board elections, via access to the corporation’s own proxy material. Like shareholder empowerment itself, proxy access was not a new debate in US corporate law – it had simmered beneath the surface for at least fifty years (Bebchuk & Hirst 2010; Buxbaum, 1985; Sundquist, 2004).¹⁰ Bebchuk argued that, without proxy access reforms, shareholders’ notional power to replace directors in the United States was, in fact, illusory (Bebchuk 2003; Bebchuk 2007; Strine 2006, 1782).

The issue of shareholder proxy access became linked to another contentious topic relating to director elections - majority voting. Under Delaware law, majority voting is the default

⁸ For a detailed discussion of competing arguments in the US shareholder empowerment debate, see Hill 2010a.

⁹ In relation to director elections, see, for example, Bebchuk 2003; Bebchuk 2007, 696-7. In relation to amendment of the corporate constitution, see, for example, Bebchuk 2006) Bebchuk 2005.

¹⁰ See, for example, Professor Richard Buxbaum’s 1985 criticism of the SEC’s “jawboning” with respect to this issue (Buxbaum 1985, 1682-83).

standard that applies for all shareholder decisions except the election of directors,¹¹ which, in contrast, falls under a plurality voting default rule.¹² Combined with proxy access restrictions, plurality voting can significantly undermine shareholder influence and choice in director elections. Under a plurality voting system, board nominees that run unopposed can be elected, even if they receive far less than majority shareholder approval. Indeed, in an uncontested board election, a single vote can be sufficient to ensure success.¹³

Bebchuk's pro-empowerment stance relied on both efficiency and accountability rationales (Bebchuk 2005; Bebchuk 2007, 678). It envisaged increased shareholder participation in corporate decision-making as an alternative, and less intrusive, governance mechanism, to external intervention by legislators and regulators (Bebchuk 2005; Bebchuk 2007, 678; Paulson Committee 2006, xii-xiii, 93-114; Scott 2007, 489-90).

The 2006 Paulson Committee Report (Paulson Committee 2006, 106) also favored the introduction of proxy access, in combination with a majority voting standard, for board elections (Paulson Committee 2006, 33, 105; Scott 2007, 490; Bebchuk 2007, 702-4; Plender, 2008). According to this committee, an independent justification for stronger shareholder rights was the fundamental power imbalance between management and shareholders under US corporate law (Paulson Committee 2006, 103).¹⁴ Another possible justification is the practical insignificance of the duty of care as a regulatory strategy in the United States. The duty of care, which poses a real liability risk to directors in some common law jurisdictions such as Australia (Conaglen and Hill 2016; Welsh 2014), is essentially unenforceable in the United States in the absence of fraud or self-dealing (Black et al 2006; Spamann 2016).

The shareholder empowerment reform agenda encountered intense opposition. Anti-empowerment commentators asserted that, far from improving US economic competitiveness, reforms granting shareholders stronger legal powers would potentially destroy it. Commentators, such as Professor Stephen Bainbridge, claimed that shareholder disempowerment was not a defect of US corporate law, but rather its hallmark and a natural

¹¹ Del. Code. Ann. Tit. 8, § 216(2).

¹² Del. Code. Ann. Tit. 8, § 216(3).

¹³ Note, however, that where a shareholder-adopted bylaw amendment specifies that a majority vote is necessary for the election of directors, the bylaw cannot be amended or repealed by the board of directors (Del. Code. Ann. Tit. 8, § 216).

¹⁴ This approach essentially ignored the pressures of the market for corporate control, first described in Manne 1965.

corollary of centralized board authority (Bainbridge 2006, 1735-6; Lipton & Savitt 2007, 740; Strine 2006, 1763; Lipton 2005, 1377). They argued that shareholder protection was a more effective regulatory mechanism than participatory rights, and that shareholders already received adequate protection from the market; the ability to exit and to diversify holdings; and finally, modern governance measures, such as performance-based pay.

A negative image of shareholders as predators or disloyal agents underpinned many anti-empowerment arguments. Justifications for restricting shareholder participation in corporate governance included, for example:- the risk of balkanized, politicized and dysfunctional boards (McKinnell 2003; Lipton & Savitt 2007, 748-9); board blackmail; abuse of power and opportunistic conduct by sectional shareholder interests;¹⁵ impulsive and reckless conduct by majority shareholders; and an dangerous shareholder preference for short-termism.¹⁶ Some commentators were sufficiently alarmed by the specter of stronger shareholder participation rights that they called for adoption of the “precautionary principle”, commonly used in environmental protection arena,¹⁷ to assess any reforms that might shift the balance of power in shareholders’ favor (Lipton & Savitt 2007, 734, 747).

An alternative strand of the anti-empowerment argument contended that shareholders themselves did not want stronger participatory rights in corporate governance. According to this hypothesis, if shareholder empowerment were indeed a valuable corporate governance attribute, it would already have evolved in the United States (Bainbridge 2006, 1736-7; Strine 2006, 1774; Lipton & Savitt 2007, 743-4).¹⁸ Recent US corporate governance developments, however, suggest otherwise. These developments show that, not only are institutional investors deeply interested in gaining stronger participation rights in corporate governance, but that, contrary to the claims of some anti-empowerment scholars (Bainbridge 2006, 1745, 1751-3; Listokin 2010), they are also prepared to use those rights. Furthermore, institutional

¹⁵ Such as unions and public employee pension funds.

¹⁶ See generally Hill 2010a.

¹⁷ See, e.g., Principle 15 of the Rio Declaration on Environment and Development, 1992 United Nations "Conference on Environment and Development" (UNCED). Principle 15, entitled, Precautionary principle, which states:- “In order to protect the environment, the precautionary approach shall be widely applied by States according to their capabilities. Where there are threats of serious or irreversible damage, lack of full scientific certainty shall not be used as a reason for postponing cost-effective measures to prevent environmental degradation”.

¹⁸ This argument is closely related to the argument that charter competition between US states tends toward optimal legal systems for regulation of capital markets (Winter 1977, 276-7, 290).

investors have become increasingly critical of restrictions on their legal rights effected by the adoption of governance structures, such as dual-class voting rights, which are common in the media and technology sectors (CII 2016; Foley and Garrahan 2014).

4. US Developments Regarding Shareholder Power

4.1 Post-Crisis Developments re Proxy Access Reform

The global financial crisis reactivated the issue of shareholder empowerment in the United States. The post-crisis goal of restoring investor trust provided new policy rationales for stronger shareholder rights and increased pressure for legislative change (Bratton & Wachter 2010; 656-57, 716).

In this novel setting, proxy access re-emerged as emblematic of the broader shareholder empowerment debate. In 2009, the SEC, after vacillating on the issue for several years (SEC 2003a; SEC 2003b; Strine, 2006, 1776-7), finally decided to propose a rule implementing proxy access (SEC 2009; Hill 2010a, 347-49). Several other crisis-related reform proposals involving enhanced shareholder power emerged in the United States during this period. These included a 2009 Shareholder Bill of Rights, which, according to its preamble, sought to “provide shareholders with enhanced authority over the nomination, election and compensation of public company executives” (Schumer, 2009). It put forward numerous governance strategies designed to shift the balance of power within US public corporations in favor of shareholders.¹⁹ These proposals elicited fierce opposition and intense political lobbying by corporations.

The *Dodd-Frank Act* of 2010 introduced a range of corporate governance reforms. These reforms, although extremely controversial,²⁰ were, in fact, far more modest than the Shareholder Bill of Rights proposals, which the Act superseded. Some of the more

¹⁹ These governance strategies included (i) a requirement that the SEC enact proxy access rules; (ii) a mandatory annual non-binding shareholder vote on executive compensation; (iii) a prohibition on staggered boards; (iv) mandatory majority voting in uncontested board elections; (v) mandatory separation of the position of CEO and chairman; (vi) mandatory board risk-management committees (Shareholder Bill of Rights, ss 3-5).

²⁰ A recurring criticism of the corporate governance provisions of the *Dodd-Frank Act*, related to its status as federal legislation, which, critics argued, encroached on traditional US state-based corporate law (Bainbridge 2011; Paredes 2009; Veasey 2009). According to Martin Lipton, a central battle in the corporate governance “war” has been resistance to “fast-marching federalization of corporate governance at the expense of traditional state law” (Lipton 2015b, 3).

contentious provisions of the Shareholder Bill of Rights, such as those relating to staggered boards and majority voting, disappeared completely during the legislative reform process. Others were included in the *Dodd-Frank Act*, but in a diluted form. Although Professor Bainbridge has argued that the post-crisis legislative process in the United States was “hijacked” by powerful institutional investor coalitions (Bainbridge 2012, 15), the weakening of shareholder governance rights during the reform process is more consistent with Professor Coffee’s “regulatory sine curve” hypothesis (Coffee 2012), and shows that reform attrition due to political lobbying often begins prior to legislative enactment.

One apparently significant corporate governance provision of the *Dodd-Frank Act* was s 971.²¹ This section laid the administrative groundwork for proxy access, by recognising the SEC’s authority to make rules granting shareholders the right to nominate directors via the company’s own proxy materials.²² Like many other provisions in the *Dodd-Frank Act*, s 971 was weaker than the Shareholder Bill of Rights proposals in several ways. First, although s 971 merely authorized the SEC to make proxy access rules, the analogous provision in the Shareholder Bill of Rights *required* it to make such rules (Bainbridge 2012, 15).²³ Secondly, whereas s 971 merely provided the SEC with general rule-making authority, the Shareholder Bill of Rights included specific preconditions for proxy access, which were quite generous to shareholders. Section 4 of the Bill of Rights, for example, granted proxy access to a shareholder, or group of shareholders, beneficially owning not less than 1% of voting shares for a continuous period of at least 2 years before the next scheduled annual meeting.

Soon after the *Dodd-Frank Act* was passed, the SEC adopted Rule 14a-11 under the *Securities and Exchange Act* of 1934, granting shareholders proxy access in limited circumstances (SEC 2010). These circumstances were more restrictive than the preconditions in s 4 of the Shareholder Bill of Rights. Rule 14a-11 adopted a 3%/3 year/25% rule, which

²¹ Cf however, Kahan & Rock 2011, who brand proxy access as insignificant, on the basis that mutual and pension funds are passive investors and would be unlikely to make use of it.

²² Delaware had in fact undertaken a “preemptive strike” (Fairfax 2009, 104) in this regard in 2009, when it introduced a new provision, Del G.C.L. s 112, which expressly permitted Delaware corporations to adopt bylaws granting shareholders proxy access rights. On its face, s 112, in combination with Del G.C.L. s 109, appeared to enable shareholders to adopt proxy access bylaws. This was, however, a phantom right only, under since federal law, only the board of directors had the ability to adopt this type of bylaw (Fairfax 2009, 101-103).

²³ Section 4 of the Shareholder Bill of Rights stated that, “[t]he Commission *shall* establish rules relating to the use by shareholders of proxy solicitation materials supplied by the issuer for the purpose of nominating individuals to membership on the board of directors of an issuer” (emphasis added).

granted proxy access to a shareholder, or group of shareholders, holding at least 3% of the company's shares for the previous 3 years, with nominations restricted to 25% of the board of directors.

It has been said that the adoption of Rule 14a(11) caused financial institutions to rejoice, "but only briefly" (Cox and Baucom 2012, 1812). In 2011, soon after it was adopted, but before becoming operational, the proxy access rule was successfully challenged in *Business Roundtable v SEC* (Business Roundtable 2011). The U.S. Court of Appeals for the D.C. Circuit vacated the rule, reproaching the SEC for acting "arbitrarily and capriciously" by adopting it without an adequate assessment of its economic effects.

Nonetheless, many global institutional investors, including CalPERS, regarded proxy access as "unfinished business" (CalPERS 2012), and, in the aftermath of the *Business Roundtable* case, lobbied the SEC to revive its proxy access rule making efforts. These lobbying attempts were, however, unsuccessful, and highlighted the difference in wording between the Shareholder Bill of Rights and the *Dodd-Frank Act* – s 971 of the *Dodd-Frank Act*, unlike the Shareholder Bill of Rights, merely authorized, but did not oblige, the SEC to make proxy access rules (Bainbridge 2012, 15).

4.2 Recent US Developments - Use of Private Ordering to Acquire Governance Rights

The *Business Roundtable* case did not ultimately prove to be a corporate governance showstopper. In the wake of the SEC's failure to implement mandatory federal rules, institutional investors adopted a self-help/private ordering strategy²⁴ to acquire proxy access rights on a company-by-company basis.²⁵ *Business Roundtable v SEC*, although invalidating Rule 14a-11, left intact SEC amendments to Rule 14a-8 that permitted shareholders to bring their own resolutions relating to director nominations. Adopting a "stepping stone" approach, institutional investors used existing powers, such as the power to propose precatory resolutions under Rule 14a-8, against the backdrop of the acceptance of proxy access bylaw

²⁴ See Min 2016, 10 n 27, adopting Professor Schwarcz's definition of "private ordering" as referring to the rules adopted by private actors "by opting out of government regulation by adopting rules in areas.

²⁵ For criticism of a private ordering approach (against the backdrop of a no-access default rule, from which shareholders may opt out on a company-by-company basis), compared to a mandatory proxy access solution, see Bebchuk & Hirst (2010).

rules,²⁶ to place pressure on boards to grant them new election-related rights. The recent success of this private ordering strategy has potentially reshaped the corporate governance environment in the United States.²⁷

There has been a dramatic increase in the number of US shareholder proposals relating to corporate governance in recent times, with proxy access the stand-out issue in the 2015 and 2016 proxy seasons. Although the number of proposals on some corporate governance issues has declined, even this seems a testament to shareholder success. Majority voting, shareholder convening of special meetings and declassification of staggered boards (“board declassification”) are no longer burning corporate governance issues, because these battles have now, to a large extent, been won.

Under Delaware corporate law, amendments to the charter must be initiated by the board of directors.²⁸ The number of governance-related charter amendments in US publically traded corporations has surged since 2005, and shareholder pressure has been an important contributing factor (Min 2016). Majority voting, shareholder rights to convene special meetings, and board declassification were among the most common types of charter amendment.²⁹ By 2015, more than 80% of S&P 500 companies had majority voting requirements and around 60% permitted shareholders to call special meetings (Sullivan & Cromwell LLP 2015, 1, 3, 9, 12). As at 2014, the percentage of S&P 500 companies with declassified, or non-staggered, boards was 93%, compared to 55% a decade earlier (Spencer Stuart 2014).³⁰

Shareholder proposals relating to proxy access rose from only 17 in 2014,³¹ to around 100 at US public corporations in the 2015 proxy season. This was largely due to the efforts of New

²⁶ Under Del. G.C.L. s 112.

²⁷ Some definitions of “corporate governance” explicitly include private ordering within their compass. See for example, Butler, who defines corporate governance as “the manner in which the relations between the parties to the corporate contract are restrained by government regulation or private ordering” (Butler 1989, 101).

²⁸ See Del. G.C.L. s 242(b)(1).

²⁹ Other common types of charter amendment were elimination of supermajority voting requirements and elimination or relaxation of state anti-takeover statutes (Min 2016).

³⁰ Between 2012 and 2014, the boards of 98 S&P 500 and Fortune 500 companies were declassified as a result of work undertaken by the Shareholder Rights Project at Harvard Law School (see Shareholder Rights Project (<http://srp.law.harvard.edu/index.shtml>)).

³¹ Only 6 of these proxy access proposals succeeded in gaining majority support in 2014.

York City Comptroller, Scott Stringer, who filed 75 proposals on behalf of New York pension funds as part of the Boardroom Accountability Project.³² The Comptroller's proposals were precatory in nature, with a standardized 3%/3 year/25% proxy access matrix, in accordance with the SEC's vacated rule.³³ By mid-2015, shareholders had considered 81 proxy access proposals, over 59% of which received a majority vote (Kess 2015).³⁴

Some boards, including those at Bank of America, Citigroup and General Electric ("GE") voluntarily adopted, or agreed to support, shareholder proxy access.³⁵ In February 2015, the GE board, voluntarily (or at least preemptively)³⁶ adopted 3%/3 year/20% bylaw, without submitting it to shareholder vote (Mann & Lublin 2015). However, GE's board-adopted bylaw also included an aggregation limit of 20 shareholders (GE 2015).

By late 2015, a total of 80 US corporations had adopted proxy access bylaws (Sullivan & Cromwell LLP 2015a, 1). By the mid-2016, this figure had risen to over 240 (Hoang 2016), and included approximately 39% of all S&P 500 companies (Kimball and Higgins 2016). Although most of the adopted bylaws followed the broad contours of the SEC's vacated Rule 14a-11 and the New York City Comptroller's proposals.³⁷ 95% of these bylaws introduced an

³² The Boardroom Accountability Project was launched in November 2014 (see generally, Boardroom Accountability Project (<http://comptroller.nyc.gov/boardroom-accountability/>)).

³³ All proxy access proposals submitted to a vote in 2015 contained 3%/ 3 year thresholds, and 98% of these also capped nominees at 25% of the board (Kess 2015). In a small number of proposals, that percentage was 20%. There was generally no restriction on aggregation to meet the ownership threshold (Sullivan & Cromwell LLP 2015, 5). 66 of the 75 resolutions submitted by Scott Stringer ultimately went to a vote, receiving an average of 56% of votes cast (Hayashi and Lublin 2015).

³⁴ Average shareholder support for these proxy access proposals was 54.7% (Kess 2015).

³⁵ See generally, Boardroom Accountability Project (<http://comptroller.nyc.gov/boardroom-accountability/>).

³⁶ The voluntary adoption by the GE board of a proxy access bylaw enabled the company to exclude a shareholder proxy access proposal submitted by Kevin Mahar. GE obtained no-action relief from the SEC under Rule 14a-8(i)(10), which permits exclusion on the basis of "substantial implementation", since the proxy access bylaw adopted by the board addressed the proposal's "essential objective" (SEC 2015d; Gibson, Dunn & Crutcher 2015). For other substantive grounds on which companies have based no-action requests in relation to proxy access, see Simpson Thacher 2015, 5ff.

³⁷ 95% of proxy access bylaws adopted between August and November 2015 included a 3% ownership threshold and 100% set a 3 year holding period. Also, 95% of these proxy access bylaws adopted some form of 20% maximum restriction on board membership, compared to the 25% maximum in the New York City Comptroller's proposals ((Sullivan & Cromwell LLP 2015a, 2-3).

aggregation limit of 20 shareholders (Sullivan & Cromwell LLP 2015a, 2-3), similar to the bylaw adopted by GE.³⁸

Aggregation limits pose particular problems for the nomination of board members, and the Council of Institutional Investors (“CII”) has explicitly stated that it does not endorse such limits or caps (CII 2015, 3). In keeping with the implications of agency capitalism (Gilson & Gordon 2015), even though investment companies like Vanguard may vote for proxy access candidates, they are unlikely to nominate them in the first place. This makes it far more difficult for shareholders in companies with aggregation limits to reach the proxy access ownership threshold.³⁹

The stance of proxy advisory firms and institutional investors vis-à-vis proxy access proposals varies, and is still evolving (Alliance Advisors 2015, 2-3). Whereas Glass Lewis and institutional investors, such as BlackRock and State Street Global Advisers, adopt a case-by-case approach to these proposals, ISS has departed from this policy, by substituting a standard positive position for proposals that replicate the SEC’s vacated Rule 14a-11. Vanguard has expressed a preference for a more demanding 5%/3 year threshold (Alliance Advisors 2015, 3), while Fidelity currently opposes, and generally votes against, proxy access proposals (Kess 2015).

4.3 The Whole Foods Saga, Private Ordering Combat and Impoverished Consent

Not all US public corporations, faced with proxy access proposals, have voluntarily adopted, or agreed to support, them.⁴⁰ Predictably, many have engaged in pushback by, for example, issuing an opposition statement to a proxy access proposal.⁴¹ Some corporations went further by attempting to preempt a shareholder vote on the proposal altogether. Corporate

³⁸ See Kimball and Higgins 2016, suggesting that a “3/3/20/20 structure” has now become the standard currency for proxy access bylaws.

³⁹ According to Mr McRitchie, the role of nominating proxy access candidates will usually fall to public pension funds. However, the aggregation of the six largest public pension funds in Whole Foods only amounts to 1.2% of stock (McRitchie 2015, 1).

⁴⁰ See generally, Boardroom Accountability Project (<http://comptroller.nyc.gov/boardroom-accountability/>).

⁴¹ As at 26 July 2015, approximately 78 corporations, whose shareholder meetings had been held or were pending, had issued opposition statements (Kess 2015).

governance developments at Whole Foods Market, Inc (“Whole Foods”) in 2014-2015 provide a good case study of contemporary tensions and dynamics between US boards and shareholders in relation to charter and bylaw amendments. It also provides an example of, what might be termed, private ordering combat.

Whole Foods claimed that it could rely on Securities and Exchange Act (SEC) Rule 14a-8(i)(9) to exclude a 3%/3 year/20% shareholder proposal submitted by James McRitchie, on the basis that it conflicted with the company’s own proxy access bylaw provision proposal. Yet, the bylaw proposal offered by Whole Foods was far less generous to shareholders than Mr McRitchie’s. For example, the Whole Foods proposal introduced stringent 9%/5 year/10% conditions. It also restricted proxy access to a single shareholder and prohibited any shareholder aggregation or coordination to reach the already high 9% stock ownership threshold (Baker Botts 2014, 3; Morgenson 2015a).⁴² The Whole Foods proposal provides a good example of the concept of “impoverished consent”, whereby shareholders are forced to vote for a management-proposed rule, in spite of preferring a different rule (Eisenberg 1989, 1477).

Initially, the SEC legitimized the exclusion of Mr McRitchie’s proposal, by granting Whole Foods no-action relief (Jacobson 2014). However, in January 2015, following a request by the Council of Institutional Investors (“CII”) for reconsideration of that decision (CII 2015), the SEC retreated from its initial position. Chair, Mary Jo White, announced that the SEC would conduct a review of the Rule 14a-8(i)(9) exemption in the light of questions concerning its “proper scope and application” (SEC 2015a). In a parallel move, the SEC announced that it would “express no views on the application of Rule 14a-8(i)(9)” during the 2015 proxy season (SEC 2015b; Higgins 2015). This meant that corporations, like Whole Foods, which sought to substitute company proposals for shareholder proxy access proposals now did so at their peril, and without the comfort of SEC no-action relief (Hodgson 2015; Business Roundtable 2015).⁴³ The SEC’s announcement extended well beyond the narrow issue of proxy access. It also potentially obstructed a common mechanism used by companies to exclude a variety of shareholder proposals, including those relating to special meeting

⁴² Whole Foods subsequently reduced the stock threshold from 9% to 5% (Morgenson 2015a). Even that lower threshold would amount to approximately US \$1 billion in stock (Hodgson 2015).

⁴³ Cf, however, the Business Roundtable’s view that the SEC’s announcement did not affect a company’s ability to rely on Rule 14a-(8)(i)(8) (Business Roundtable 2015).

rights; removal of supermajority provisions; and clawback proposals (Alliance Advisors 2015, 3-4).

In October 2015, the SEC effectively reversed its original grant of “no action” relief to Whole Foods, with the release of new guidelines relating to shareholder proposals (Hayashi and Lublin 2015; SEC 2015c). These guidelines narrowed the range of excludable shareholder proposals to those that “directly conflict” with a management proposal, in the sense of being mutually exclusive such that “a reasonable shareholder could not logically vote in favor of both proposals” (SEC 2015c, 3). The SEC stated that proposals like those at Whole Foods, which “seek a similar objective”, did not meet the standard of direct conflict needed to justify exclusion of a proposal.

Ultimately, the Whole Foods board itself adopted a proxy access bylaw, which became effective in June 2015 (Whole Foods 2015c, Art II s15). This bylaw was in the standard 3%/3 year/20% form, but contained various restrictions. These restrictions, which were contrary to CII’s stated best practices for proxy access (CII 2015, 3-5), included, for example, an aggregation limit of 20 shareholders; a requirement that loaned shares must be recalled in order to be counted towards the ownership threshold; and a ban on any compensation arrangement (or “golden leash”) between a nominee director and a third party (Sullivan & Cromwell LLP 2015a, 3). In September 2015, Mr McRitchie announced that he had filed a proposal, to be considered at Whole Foods’ next annual meeting, seeking less onerous proxy access conditions (McRitchie 2015). In the lead-up to Whole Foods’ annual meeting in March 2016, his proposal (to permit an unlimited number of eligible shareholders to aggregate their shares to appoint up to 25% of the board or two directors, whichever is greater) received support from several large funds, as well as from ISS and Glass Lewis (Burr 2016).

Private ordering combat is still alive and well in US public corporations, although it has evolved into new forms since the Whole Foods saga. During 2016, many companies, attempted to exclude shareholder proposals to amend previously adopted proxy access bylaws, by relying on SEC rule, Rule 14a8(i)(10), which permits exclusion of shareholder proposals where the company has already “substantially implemented” a proposal. Between February and March 2016, the SEC granted approximately 30 companies no-action relief, thereby permitting them to exclude such shareholder proposals. In July 2016, however, the SEC appeared to signal a shift in its approach, when it refused a request by H&R Block to

block a similar bylaw amendment proposal by James McRitchie (SEC 2016).⁴⁴ Mr McRitchie's proposal sought to amend the H&R Block's existing bylaws in relation, for example, to the number of permitted nominee directors; limits on director re-nomination; shareholder aggregation prohibition and treatment of loans securities in determining whether the ownership threshold had been met (Hoang 2016). Mr McRitchie's proposal reflects a growing trend in 2016 toward more fine-tuned assessment by shareholders of restrictive secondary features of proxy bylaws (Kimball and Higgins 2016).

In refusing to issue a no-action letter for the benefit of H&R Block, the SEC stated that it was unable to conclude that the company had met its burden of demonstrating that it was entitled to omit Mr McRitchie's proposal under Rule 14a8(i)(10), since there was insufficient evidence to show that H&R Block's proxy access bylaw "compared favorably" with the proposal (SEC 2016).⁴⁵ The SEC came to the same conclusion in September 2016 in relation to a similar application by Microsoft (SEC 2016a).

4.4 Proxy Access and Private Ordering – Some Concluding Comments

Proxy access has become the litmus test for shifts in the corporate governance balance of power within US corporations.

Some of the dire predictions that marked original shareholder empowerment debate have resurfaced in this new context. Chief Justice Strine has stated, for example, that recent corporate governance developments have left boards increasingly subject to the "immediate whims of stockholders" (Strine 2015, 40). The reality of shareholder proxy access has also prompted concern about board dysfunction, including "the risk of creating factions and a poisonous atmosphere" (Allaire & Dauphin 2015).

⁴⁴ Interestingly, Mr McRitchie had withdrawn a proposal in 2015 to adopt proxy access after H&R Block agreed to adopt proxy access bylaws, but then lodged a proposal to amend those bylaws in 2016 (Hoang 2016).

⁴⁵ The SEC has previously stated that "a determination that the company has substantially implemented the proposal depends upon whether [the company's] Particular policies, practices and procedures are compare favourably with the guidelines of the proposal." (Texaco, Inc. (March 28, 1991).

The Business Roundtable has sought to depict current private ordering by shareholders as fundamentally inconsistent with centralized board authority. Following the SEC's January 2015 "express no views" volte-face in relation to Whole Foods, the Business Roundtable wrote to Glass Lewis and ISS, requesting that they refrain from making proxy voting recommendations if companies chose to exclude shareholder proposals under Rule 14a-8(i)(9) without SEC authorization. The Business Roundtable justified its request on the basis that "it would be inappropriate for ISS and Glass Lewis to apply their voting policies in a way that substitutes their own judgment as to the appropriate course of action in place of the Board's judgment" (Business Roundtable 2015). Proxy advisers and institutional investors, such as BlackRock, TIAA-CREF and CalPERS, did not accede to this request, however. Rather, they announced that they would oppose the election of any directors, who were responsible for omitting shareholder proxy access resolutions without proper SEC authorization (Alliance Advisors 2015, 2; ISS 2015, 5).

Proxy access is merely the tip of the iceberg in relation to current US developments concerning allocation of power in corporate governance. Nor has the use of private ordering to reallocate power within the corporation been one-directional only. As noted, some boards have engaged in private ordering combat, using their bylaw amendment powers to dilute the efficacy of shareholder proxy access by adding stringent preconditions, such as aggregation limits and prohibitions on golden leashes. The skirmishes at Whole Foods, H&R Block and Microsoft raise the issue of "impoverished consent" in this regard. Turf battles have also erupted in the context of shareholder litigation (Cox 2015), where directors have also adopted "exclusive forum" charter and bylaw provisions to address the issue of multi-forum shareholder suits (Boilermakers 2013; Armour et al 2012).⁴⁶ Finally, some boards attempted to introduce UK-style "loser pays" rules by means of fee-shifting bylaws, which would potentially have inhibited shareholder litigation. The Delaware legislature responded to these

⁴⁶ Professors Roberta Romano and Sarath Sanga note that the first exclusive forum bylaw was adopted by Oracle Corp in 2006, and the first exclusive forum IPO charter provision was adopted by Netsuite Inc in 2007 (Romano and Sanga 2015, 2-3, fn 6).

developments by permitting the inclusion of forum-selection provisions in the charter or bylaws⁴⁷ as an antidote for multi-forum shareholder suits, but prohibiting “loser pays” rules.⁴⁸

Proxy advisers have themselves recognized the broader corporate governance implications of the proxy access debate and private ordering combat. ISS has stated, for example, that it will oppose directors, who adopt charter or bylaw provisions that “materially diminish shareholder rights”, without shareholder consent (ISS 2015, 5-6). This is no idle threat today, given the changes that have occurred to US share ownership and the corporate governance landscape. The developments concerning majority voting, the ability of shareholders to call special meetings, and the decline of staggered boards, has left directors increasingly vulnerable to shareholder discontent.

5. Has There Been a Sea-Change in US Corporate Governance? Martin Lipton as Bellwether

Until recently, many anti-empowerment proponents adopted arguments presenting both institutional investors and activists in a negative light. In 2013, for example, Martin Lipton, who has been described as “one of the leading warriors against activists” (Barusch 2015), spoke scathingly of institutional investors. He warned that their voting power was being “harnessed by a gaggle of activist hedge funds who troll through SEC filings”, seeking short-term profit at the expense of both the company and the economy (Lipton 2013). This analysis depicted institutional investors as unfaithful servants, which collaborate with predatory hedge funds.

Nonetheless, the corporate governance developments discussed above, together with recent high profile proxy battles, such as the activist campaign of Trian Management Fund (“Trian Fund”) against DuPont (Davidoff Solomon 2015; Gara 2015),⁴⁹ had an interesting effect on

⁴⁷ Del. Code Ann. Tit. 8 § 115.

⁴⁸ Del. Code Ann. Tit. 8 §109(b).

⁴⁹ In its long-running activist campaign against DuPont, Trian Management Fund sought to place four nominees, including founder Nelson Peltz, on DuPont’s board of directors, with an eye to breaking up the company. Although the outcome was regarded as too close to call in the lead-up to DuPont’s annual shareholder meeting on 13 May 2015 (Davidoff Solomon 2015), DuPont ultimately prevailed when its shareholders elected all twelve of DuPont’s own nominees (DuPont 2015). DuPont’s victory was by a narrow margin (ie 52%). Central to that victory was the fact that indexed investors, such as Vanguard

anti-empowerment rhetoric. Only two weeks before DuPont's decisive annual shareholder meeting on 13 May 2015 (and, perhaps more significantly, only two days after the announcement that ISS would recommend that shareholders vote in favor of two of Trian Management Fund's board nominees),⁵⁰ Mr Lipton departed from his familiar "take no prisoners" rhetorical style.

Adopting a new, more conciliatory tone, he stated that "Trian Fund and its founder, Nelson Peltz, have clearly established credibility and acceptability...They have become respected members of the financial community" (Lipton 2015a). Departing even further from his customary stance, Mr Lipton suggested that corporations facing activist campaigns would be "well-advised to meet with the activist and discuss the activist's criticism's and proposals, which are frequently presented in the form of a well-researched white paper". Finally, he commented that "[m]ajor institutional investors like BlackRock and Vanguard want direct contact with the independent directors of corporations" (Lipton 2015a).

Coming from Martin Lipton, these observations arguably bear the hallmark of a sea-change in the balance of power between US boards, activists and institutional investors.⁵¹ They constitute recognition of the implications of agency capitalism, in which "sophisticated but reticent institutional investors" can, nonetheless, be prompted into supporting activism by other market players (Gilson & Gordon 2015).

Recent comments by the CEO of BlackRock, Larry Fink, also confirm this trend. Although previously critical of some activists for short-termist goals (Fink 2015), Mr Fink stated in 2016 that BlackRock had supported activists in 39% of the largest proxy contests the previous year (Turner 2016).

Mr Lipton's comments, combined with the rise of agency capitalism, suggest that US institutional investors have become the corporate equivalent of swing voters in politics – it seems all sides are now out to woo them in an increasingly globalized investment world

Group, Black Rock and State Street, which collectively held 16.7% of shares, and CalPERS sided with (Coffee 2015).

⁵⁰ See MarketWatch 2015. It also appears that on 29 April 2015, the same day on which Mr Lipton made his comments, Glass Lewis also decided to support Mr Peltz in his directorship bid (Benoit 2015).

⁵¹ Admittedly, Mr Lipton subsequently reverted to the language of conflict, comparing corporate governance developments in the United States with the religious Thirty Years' War of the C17th (Lipton 2015b). In this memo, Mr Lipton describes proxy advisers, such as ISS, as "a brigade of mercenaries" (*id*, 3). Yet, the conciliatory tone to major institutional investors is still present (*id*, 9-10).

(Foley *et al* 2015). Indeed, Mr Lipton has recently presented institutional investors as the best hope for corporate governance peace and “taming the activists” (Lipton 2015b, 9-10).

6. Comparative Corporate Governance and Legal History

6.1 Shareholder Participation and Engagement Around the World

The level of controversy generated in the United States by the shareholder empowerment debate and recent corporate governance developments is puzzling to foreign eyes. Is it even appropriate to regard the current trend towards private ordering by shareholders in US corporations as “activism”.⁵² After all, before the decision in *Business Roundtable v SEC* (*Business Roundtable v SEC* 2011), private ordering was the preferred regulatory solution of those who opposed mandatory federal proxy access rules. To describe private ordering as “activism” once it becomes a reality suggests that its initial appeal to some opponents of mandatory proxy access may have been the likelihood of failure in practice. Terminology matters, and “activism” tends to have negative connotations in the United States.⁵³ It is worth considering why private ordering by shareholders is described as “activism”, when private ordering by the board, through, for example, unilateral bylaw amendments, is not.

La Porta et al’s influential “law matters” hypothesis stressed the differences between common law and civil jurisdictions in terms of shareholder protection (La Porta et al 1998; La Porta et al 1999), while obscuring important differences within the common law world itself (Hill 2010b, 8). Yet, the kind of rights that have aroused controversy in the United States – for example, majority voting; ability to convene shareholder meetings; nomination and removal of directors – are available to shareholders in many other common law jurisdictions, such as the United Kingdom, Australia, Singapore and Hong Kong. Over a decade ago, when News Corporation relocated from Australia to the United States, it was the absence of such participation rights under Delaware corporate law that caused consternation among Australian institutional investors (Hill 2010b). Analogous rights are also available in

⁵² See, for example, Min 2016, 5, fn 15, arguing that institutional investor voting on shareholder proposals constitutes “shareholder activism in a broader sense”.

⁵³ SEC Chair, Mary Jo White has been critical of this tendency, stating that “reflexively painting all activism negatively is, in my view, using too broad a brush and indeed is counterproductive” (White 2015).

civil law jurisdictions, such as Japan (Goto 2014), which has not traditionally been regarded as particularly protective of shareholder interests.

In these various jurisdictions, shareholder participation rights are viewed as fundamental to corporate accountability.⁵⁴ The kind of engagement with corporate boards that, according to Martin Lipton, major US institutional investors now seek (Lipton 2015a), is not contentious, for example, in the United Kingdom. Such engagement has a long history there and is regarded as increasingly important from a policy perspective (Nolan 2006a, 93). In 2003, the Higgs Report proposed a range of governance techniques, specifically designed to ensure open communication and engagement between boards and institutional investors,⁵⁵ which were subsequently incorporated into the UK Combined Code on Corporate Governance 2003.⁵⁶ Also, one of the underlying premises of the UK Stewardship Code (FRC 2012) is that institutional shareholders have a non-delegable responsibility to engage with the companies in which they invest (Hughes 2009; Burgess 2009). High-level engagement of this kind is also common in Scandinavian countries (Milne 2015; Morgenson 2015b; Sullivan 2013), and encouraged under recent Japanese corporate governance reforms, which included the introduction of a UK-style Stewardship Code (JSC 104; JCGC 2015, 33-34; JPX 2015).

It seems that, in an era of globalized investment, US institutional investors are now becoming increasingly aware of the rights held by their counterparts in other jurisdictions, and that this is at least partly explains current corporate governance developments in the United States.

6.2 The Organizational Origins of US Corporate Law

⁵⁴ According to the UK Walker Review, for example, “[s]ome governance by owners is essential, at least in respect of the selection, composition an performance of boards, if boards and executives of listed companies are to be appropriately held to account in discharge of their agency roles to their principals” (Walker Review 2009, [5.8]).

⁵⁵ The Higgs Report recommended, for example, the appointment of a senior independent director who should be available to resolve shareholder concerns “that have not been resolved through the normal channels of contact with the chairman or chief executive” (Higgs 2003, 6, [7.4]-[7.5]). Other relevant provisions of the Higgs Report (Higgs 2003) included proposals that the senior independent director should attend regular meetings with management and “a range of major shareholders” to develop an understanding of shareholder concerns [15.15]; that non-executive directors should be able to meet with major investors and should expect to do so if requested by those investors [15.16]; that non-executive directors should meet with major investors as part of their induction into the company [15.17]; that a company should state what steps it has taken “to ensure that members of the board, and in particular the non-executive directors, develop a balanced understanding of the views of major investors” [15.18].

⁵⁶ Combined Code 2003, Main Principle E.1. *Cf.* however, UK Corporate Governance Code 2014, Section E, which deals only with relations between the company and shareholders generally (Corporate Governance Code 2014).

Why is the current attitude to changes in the allocation of power and shareholder participation rights so different in the United States to many other jurisdictions, including the United Kingdom? Legal history provides some clues.

In spite of a similar common law heritage, there are major historical differences between US and UK company law.⁵⁷ Each had a fundamentally different organizational starting point. These distinct legal origins arguably affected the internal allocation of power corporations and contributed what has been termed US corporate law's "exceptionalism" (Lamoreaux 2014).

US corporate law originated from early UK royal chartered corporations (Gower 1956, 1370) and therefore had quasi-public roots (Friedman 1985, 188-195). British chartered corporations included ecclesiastical bodies, guilds, municipal bodies and some trading companies. Famous examples were the East India Company, which was chartered in 1600,⁵⁸ and the Bank of England, which received its first charter in 1694 (Cooke 1951, 54-8; Williston 1888a, 105-6, 111). Royal charter and special Act of Parliament were the only legitimate means of acquiring corporate personality before 1844,⁵⁹ when the first UK general incorporation statute⁶⁰ was passed. They were also the only ways to obtain limited liability in the United Kingdom before the passage of the *Limited Liability Act* 1855.

This need for a charter from the monarch or Parliament reflected the idea that incorporation depended on "the supreme power of the State" (Williston 1888a, 113-4), and contributed to the then-prevailing theory that the corporate form was a public body, approved by the State to be in, and subject to, "the national interest" (Cooke 1951, 78). Chartered corporations received delegated government authority exerted authority through the bylaws, which they could enforce by various means, including, in the early stages of corporate law history, not only by imposition of fines, but also imprisonment (Williston 1888a, 121-2).

⁵⁷ In comparing and contrasting the US and UK legal systems, Professor L.C.B. Gower once stated that "if there are sufficient basic similarities to make a comparison possible, there are, equally, sufficient differences to make it fruitful" (Gower 1956, 1370).

⁵⁸ In early chartered corporations, members traded with their own stock and at their own risk. Some chartered corporations, such as the East India Company, later moved to a permanent joint stock fund. (Cooke 1951, 49-50; Williston 1888a, 109-10).

⁵⁹ The other means by which legal personality could be obtained in the United Kingdom was by or special Act of Parliament.

⁶⁰ The Joint Stock Companies Act in 1844.

In the US context, virtually all chartered corporations prior to the American Revolution were “bodies politic”, such as towns, districts, and religious and educational institutions (Maier 1993, 53; Williston 1888b, 165). From the late 1780s on, however, chartered business corporations grew exponentially and ultimately dwarfed the number of bodies politic (Wells 2015, 14; Wright 2014, 62; Hurst 1970, 7-9). Although prior to 1787 there were only 6 chartered business corporations (Wells 2015, 14), from 1830 to 1860 (Wright 2014, 62; Hurst 1970, 7-9) state legislatures chartered 18,000 business corporations. US law, however, made no distinction between these various different types of corporations.

The majority of early grants were effectively private ownership of public utilities. Grants were predominantly given for operations, such as mills, banks, bridges, toll roads and later, railroads (Carney 1980, 82). True to their British roots and to their function in the early US business era, all corporations, including those for profit, were regarded as “public agencies”. As such, they were required to serve a public purpose (Williston 1888a, 105, 110-111; Maier 1993, 55-7; Angell & Ames 1882, 25). The charters themselves were treated as analogous to political constitutions (Maier 1993, 79-80) and contracts with the state,⁶¹ which often included detailed specification of the grantee’s obligations.⁶²

The transplantation of the UK chartered corporation model onto US soil came, however, with some distinctive American twists. First, a critical feature of modern US corporate law emerged during this period – US states, rather than the federal government, were empowered to charter corporations (Maier 1993, 52).⁶³ Secondly, there was populist backlash in the United States to the fact that charters were granted selectively and generally involved monopoly privileges, which was viewed as anti-egalitarian and contrary to the ideals of the American republic (Maier 1993, 66-8, 71-2).⁶⁴ The problem of the “monopolistic and

⁶¹ See, for example, *Trustees of Dartmouth College v Woodward*, 17 U.S. 518 (1819) (Marshall C.J.) and the *Charles River Bridge* case (around 1826-7) (US Supreme Court) concerning the nature of sovereign charters in the United States.

⁶² For example, charter grants for bridges, tollroads and railways often specified location, managerial responsibilities, such as keeping the operation in good repair and the maximum amount that could be charged to the public (Carney 1980, 83).

⁶³ Although, of course, corporate law in the United States was state-based, and the political matrix varied from state to state, parallel general patterns can be discerned in its early development (Lamoreaux 2014, 3, 5). For discussion of James Madison’s failed proposal for US federal incorporation in the Constitutional Convention of 1787, see Pollman 2016. Cf, however, Horwitz, 118-120 (cited in Carney 1980, 83)].

⁶⁴ Thomas Cooper, for example, was damning in his 1830 assessment of chartered corporations as “founded on the right claimed by government, to confer privileges and immunities on one class of

scandalous” charter system (Cary 1974, 663-4; *Citizens United* 2010, 387) was eventually solved by legislative means.⁶⁵ From the early 19th century onwards, states began to make charters freely available under general incorporation statutes (Cooke 1951, 93-4; Lamoreaux 2014, 9).⁶⁶ Even after their adoption, however, the view persisted throughout the century that corporations owed their existence to the state and involved public purposes (Millon 1990, 206-7). It has recently been argued that restricted voting practices during this period reflected the fact that many US corporations essentially operated as public-regarding “consumer cooperatives” (Hansmann and Pargendler 2014)

6.3 The Organizational Origins of UK Corporate Law

By the time of their American ascent, chartered corporations were “all-but-moribund” in Britain (Maier 1993, 83). They had been eclipsed by unincorporated joint stock companies, or “deed of settlement” companies, which ultimately provided the organizational foundation for modern UK company law.

Unincorporated joint stock companies developed in a parallel universe to chartered corporations. These companies were large unchartered associations “on which the sun of royal or legislative favour did not shine”.⁶⁷ They made creative use of the dual equitable concepts of partnership and the trust to replicate certain features of chartered corporations, such as the ability to hold property and perpetual succession (Cooke 1951, 85-87). Unincorporated joint stock companies therefore had strong contractual elements (Gower 1956, 1371-72, 1376). A central feature of their establishment and organizational structure⁶⁸ was the deed of settlement, which all members were required to sign (Cooke 1951, 101). This

citizens, not only not enjoyed by the rest, but at the expense of the rest”. (Cooper 1830, 246 (cited in Hovenkamp 1988, 1634)).

⁶⁵ Some states had made early attempts to solve the problem by issuing charters to business rivals, and courts often refused to imply monopolistic privileges into special charter grants, as in *Charles River Bridge v Warren* 36 U.S. 420. 546 (per Taney C.J.).

⁶⁶ New York was at the forefront of this trend. The first general incorporation law in relation to manufacturing was passed in New York in 1811 (*An act relative to incorporation for manufacturing purposes* (March 22, 1811). Connecticut adopted what is regarded as the first general corporation statute in 1837 (Carney 1980, 84). By 1860, 27 out of 32 US states and territories had adopted general incorporation statutes (Lamoreaux 2014, 9, 18-19).

⁶⁷ Per James L.J. in *Re Agriculturalist Cattle Insurance Company* (Baird’s Case) (1870), 5 Ch. App. 725 at 734. Often the denial of legislative favor was due to the ease with which parliamentary chartering Acts could be blocked by interested coalitions (Guinnane et al 2014, 7).

⁶⁸ Management of the unincorporated joint stock company was invariably vested in trustees or a small management group (Austin 1825, 711; Cooke 1951, 95).

deed could also provide members with supervisory and control powers, although in practice, members of these large unincorporated associations tended to remain passive (Austin 1825, 711).

The famous Bubble Act of 1720⁶⁹ epitomized the differences and tensions between chartered corporations and unincorporated joint stock companies in England. Although the Act has been labeled “wordy and obscure” (Gower 1956, 1370), the main goal of its prohibition on “presuming to act as a corporation” without legal authority was clear enough. It was to eradicate the growing number of unincorporated joint stock companies⁷⁰ from the trading arena (Cooke 1951, 84).⁷¹

The Bubble Act proved a failure in its attempt to reassert governmental control over British business organizations, and a classic example of the gap between “law on the books”, and “law in action”. Between the time of its enactment in 1720 and repeal in 1825 (Hansard 1825), the Act was largely unenforced⁷² and could, in any case, be avoided by skillful drafting of deeds of settlement (Cooke 1951, 99). The result was that joint stock companies continued to flourish during this period, albeit in a “legal grey area” (Guinnane et al 2014, 7). These unincorporated joint stock companies provided the blueprint for the UK’s first general incorporation statute, the 1844 Joint Stock Companies Act (Cooke 1951, 109).⁷³

The close connection between UK company law and partnership law is reflected in legal history, terminology and doctrine. The first general UK incorporation statute,⁷⁴ the 1844 Joint

⁶⁹ 6 GEO, I, c.18 (1719). The Bubble Act derives its colloquial name from the South Sea Company Bubble in the early 18th century, a period of “wild speculation and a great catastrophe” (Cooke 1951, 80ff).

⁷⁰ Of the more than two hundred companies which were formed around 1720, most were not incorporated by charter ((Williston 1888a, 111-12).

⁷¹ The Bubble Act also targeted chartered corporations operating beyond the purposes of charters or under expired charters (Patterson & Reiffen 1990,170-71).

⁷² There was one prosecution in the 18th century and a smattering of cases in the early 19th century before its repeal in 1825 (Cooke (1951, 84, 97-9, 105).

⁷³ An Act for the Registration, Incorporation, and Regulation of Joint Stock Companies, 7 & 8 Vict. c. 110. Although the Act was intended to differentiate between partnerships and companies, it actually used the former to define the latter. Under the Act, a “joint stock company” was defined as a partnership with particular characteristics in terms of size and transferability of shares - ie either with shares that were transferable without the consent of the co-partners or with more than 25 members. *Id*, s 2.

⁷⁴ An Act for the Registration, Incorporation, and Regulation of Joint Stock Companies, 7 & 8 Vict. c. 110.

Stock Companies Act, which was intended to differentiate between partnerships and companies, actually used the former to define the latter. Under this Act, a “joint stock company” was defined as a partnership with particular characteristics in terms of size and transferability of shares.⁷⁵

The divergent origins of UK and US corporate law is reflected in legal terminology, such as use of the terms “companies” and “articles of association” in the United Kingdom, as opposed to “corporations”, “charters”, “incorporated” and “bylaws” in the United States. UK partnerships often included the term “& Co”, and UK company law’s “just and equitable” shareholder remedy is a direct transplant from partnership law.

These different organizational starting points are also reflected in many aspects of the substantive law and in the complex interplay between mandatory and optional rules in each legal system. They explain, for example, why limited liability became the norm for corporations in the United States much earlier than for unincorporated joint stock companies in England, and potentially help to explain doctrinal differences between US and UK law regarding the balance of power between shareholders and the board of directors.

7. Implications of US and UK Organizational Origins for Allocation of Power and Shareholder Participation Rights

By the late 19th/early 20th century, there were striking differences between US and UK corporate law in relation to allocation of power and the dichotomy between shareholder protection and empowerment. Many of these reflected the different organization origins of corporate law in the two jurisdictions, and laid the groundwork for future divergence.

7.1 The United States

In the United States, variation of governance structures was severely limited. A central feature of the American corporation was the need to accumulate capital from many small investors and then place it under “firm central direction” (Hurst 1970, 47; Maier 1993, 58). Although the anti-egalitarian aspects of the early charter system had been jettisoned by general incorporation statutes, a Jeffersonian fear of “unbridled power” of corporations vis-à-

⁷⁵ A joint stock company was defined as a partnership either with shares that were transferable without the consent of the co-partners or with more than 25 members. *Id.*, s 2.

vis the government remained (Friedman, 1985). Managerial power was therefore vested in the board of directors under the early general incorporation statutes, but, to preserve state control, the board was straightjacketed by a myriad of constraints, which mimicked, and often surpassed, restrictions found in special charters (Millon 1990, 208; Hurst 1970, 44-5).⁷⁶

Even if power could have been allocated differently between participants in early US corporations, the mechanism by which charters could be altered would have made this difficult. The decision in *Trustees of Dartmouth College v Woodward*⁷⁷ interpreted a corporation's charter as a contract between its original parties, namely "the donors, the trustees, and the crown" (*id.*, 643-4), which meant that *prima facie* alteration required the consent of all groups. Also, shareholder consent during this early period needed to be given by unanimous consent. However, Story J's concurring opinion in this decision provided the means by which the crown alone could alter a corporation's charter – namely if that power were reserved to the crown in the original grant. Reserved state powers became commonplace in the post-*Dartmouth College* era.⁷⁸ Such powers could be beneficial and provide greater flexibility in industries experiencing great technological change, because vital charter amendments (e.g. to enable consolidation of railroads) could occur simply by means of state approval (Carney 1980, 85).

Nonetheless, it appears that strong shareholder participation rights existed in both special charters and in the early American corporate law statutes. A charter granted by New Jersey to the Society for Establishing Manufactures ("the SUM") in 1791 provides an interesting example of this feature of early charters (SUM Act 1791).⁷⁹ The SUM's charter was very liberal, yet still granted shareholders significant powers over management. Indeed, it has been said that beyond these shareholder powers, the SUM's management was "subject to practically no control" (Davis 1917, 387).

⁷⁶ Statutory restrictions included limitations on corporate purposes and powers under the *ultra vires* doctrine; how much capital corporations could raise; how much they could borrow; and the extent of shareholder liability. There were also restrictions involving corporate duration, and the state's power to amend or repeal charters, which were designed to ensure that the legislature retained ultimate control (Maier 1993, 63, 76-7).

⁷⁷ 17 US (Wheat.) (1819).

⁷⁸ Indeed, such reservations of power occurred even before the judgment in the *Dartmouth College* case was handed down (Carney 1980, 83; Dodd 1954, 141) and still appears in s 1.02 of the Model Business Corporation Act.

⁷⁹ The SUM was New Jersey's first major industrial business corporation and a favorite enterprise of Alexander Hamilton (Davis 1917, 349).

By the early 20th century, however, US corporate law was in the throes of an dramatic and irrevocable shift in direction with the well-documented rise of state competition for incorporation charters.⁸⁰ This was not possible in an earlier era, when enterprises could only incorporate in their home state (Henderson 1918). As state control was loosened, the community-based aspirations of corporations gave way to private profit seeking in their own right (Maier 1993, 81). New Jersey, an early leader in this race, introduced corporate law revisions,⁸¹ which were more permissive than comparable legislation in other states.⁸² As other states emulated New Jersey's winning formula, and the race for state charters gained momentum, a major selling point⁸³ was the promise by each state that it could provide more liberal incorporation laws, in terms of expanded corporate powers and shareholder immunity, than its competitors (Yablon 2007, 324-5). New Jersey's early success was short-lived. Even though Delaware's 1899 Act merely replicated the New Jersey's legislation (Yablon 2007, 327), by 1915 the Delaware Act had acquired cachet as quintessentially modern and "liberal" (Cary 1974, 664-5; Yablon 2007, 327), overtaking New Jersey and paving the way for Delaware's dominance over the next century.

The description of US corporate law as "enabling", rather than mandatory, dates from this time. It reflects the fact that US state laws began to permit what had previously been forbidden under the strict rules associated with chartered corporations. This shift towards greater legislative flexibility was accompanied by a reduction in shareholder rights. Although these statutes provided greater flexibility in the contents of the corporate charter and by-laws (Pollman 2016), it is important to remember that the board controlled any changes to the charter. In addition, although shareholders had independent powers in relation to the by-laws, these by-laws were subordinate to the charter.

⁸⁰ For a detailed account of the beginnings of the historical race for corporate charters, beginning with New Jersey in the 1880s, see Yablon 2007.

⁸¹ Seavoy 147; Hurst, 69, 73 (cited in Pollman 9-10). Although many commentators date New Jersey's early dominance in the market for corporate charters as beginning with 1886 amendments to its corporate code, Professor Yablon argues that New Jersey's lead had already begun at least 15 years earlier, but was extended in 1888-9, when New Jersey passed legislation permitting a corporation to hold shares in another corporation (Yablon 2007, 326-7).

⁸² The New Jersey amendments facilitated mergers and the creation of holding companies, which was not previously possible due to a prohibition on one corporation holding shares in another.

⁸³ See, for example, *Liggett Co. v Lee*, 288 U.S. 517, 53 S. Ct 481 (1933), 557ff, in which Brandeis J. discusses the competition for charters, in which "[t]he states joined in advertising their wares".

7.2 The United Kingdom

Company law in the United Kingdom at the beginning of the 20th century started from a baseline of remarkable flexibility regarding allocation of power and participation rights for members/shareholders (“shareholders”).⁸⁴ Unlike in the United States, the board’s powers were derived, not from the state, but from the company’s own constitution (“articles of association” or “articles”).⁸⁵ These board powers could be “as broad or as narrow...as desired” (Pennington 1967, 481). Significantly, decisions as to the breadth or narrowness of the board’s powers were matters for the shareholders, who could alter the contents of the articles of association by special resolution. Although some C19th UK company cases interpreted shareholders’ power in this regard to mean that directors were merely agents of shareholders,⁸⁶ this paradigm was overturned in *Cunninghame’s* case (*Cunninghame* 1906). This 1906 decision made it clear that the articles created separate and autonomous spheres of authority for both directors and shareholders.⁸⁷ Under this division of powers doctrine elucidated in *Cunninghame’s* case, it was still possible for shareholders to give directions and advice to the board of directors of UK companies, but only if this power were specifically allocated to shareholders by the articles (which was commonly the case).⁸⁸

The ability of shareholders to alter the articles of association was a mandatory feature of UK company law,⁸⁹ conferred by statute.⁹⁰ Any provision attempting to contract out, or deprive,

⁸⁴ Although the term “shareholder” was used in the Companies Act 1844 (UK) and Companies Act 1856 (UK), the Companies Act 1862 (UK) and subsequent UK companies legislation, including the current Companies Act 2006 (UK) use the term “member”.

⁸⁵ Cf Watson 2011, who questions the significance of the fact that directors in the UK obtained their powers from the article of association, rather than statute, given that the articles invariably vested managerial power in the board.

⁸⁶ *Isle of Wight Ry* 1883.

⁸⁷ *Automatic Self Cleansing Filter Syndicate Co Ltd* 1906. See also *John Shaw & Sons (Salford) Ltd. v. Shaw* [1935] 2 K.B. 113, 134; *Howard Smith Ltd. v. Ampol Petroleum Ltd.* (1974) 3 ALR 448, 457.

⁸⁸ For a recent example of the division of powers doctrine, see the Federal Court of Australia decision in *Australasian Centre for Corporate Responsibility (ACCR) v Commonwealth Bank of Australia (CBA)* [2015] FCA785, where Davies J held that the doctrine justified CBA’s board of directors excluding ACCR’s non-binding shareholder proposal from the CBA’s annual general meeting.

⁸⁹ See, for example, *Walker v. London Tramways Co.* (1879) 12 Ch. D. 705; *Allen v. Gold Reefs of West Africa Ltd.* [1900] 1 Ch. 656; *Peters’ American Delicacy Co. Ltd. v. Heath* (1939) 61 CLR 457. Free alterability of the articles of association is today found in s 21 Companies Act 2006 (UK) (“Companies Act”).

⁹⁰ See, for example, Companies Act (UK) 1862 ss 50 and 51.

shareholders of this inherent power would be invalid, as contrary to statute.⁹¹ In contrast to contemporary Delaware law regarding amendments to the corporate charter,⁹² UK shareholders could also initiate such constitutional changes without the need for board approval.

The articles of association therefore represented a contractual bargain between shareholders about how their company should be governed. Statutory recognition was given to this bargain, which explicitly bound the shareholders and the company, though not the directors (Gower 1956, 1376).⁹³ It has been suggested that this inherent power of the shareholders to alter the articles according to their own wishes is the cornerstone of shareholder rights in the United Kingdom (Nolan, 2006a, 554-6).⁹⁴ Although the United Kingdom had statutory law relating to companies from 1844 onwards, this “free contracting” aspect of the articles meant that, at the turn of the 20th century, UK corporate governance was not dissimilar to some jurisdictions, such as Norway, which had no statutory corporate law whatsoever (Burkart et al 2015).

UK companies were not required to devise their own constitutions from scratch. They could rely instead on model articles (Companies House 2015),⁹⁵ which were attached to the companies legislation and subject to amendment by the Board of Trade.⁹⁶ These constituted a set of default rules that companies could adopt in whole, in part, or not at all.⁹⁷

⁹¹ See *Allen v. Gold Reefs of West Africa Ltd.* [1900] 1 Ch. 656, 671; *Peters' American Delicacy Co. Ltd. v. Heath* (1939) 61 CLR 457, 479. NB, however, that in limited circumstances, a company's articles may contain a “provision of entrenchment” requiring more restrictive conditions to be met, or procedures complied with, in order to alter the articles. See s 22 Companies Act 2006 (UK).

⁹² Del G.C.L. s 242.

⁹³ Companies Act (UK) 1862, s 16; *Companies Act* 2006 (UK) s 33(1). Cf *Corporations Act* 2001 (Aust), s 140(1)(b), which now embodies a contract between directors and the company (though not between directors and members).

⁹⁴ Cf Watson 2011, who questions the significance of the fact that directors in the UK obtained their powers from the article of association, rather than statute, given that the articles invariably vested managerial power in the board.

⁹⁵ The earliest model articles of association for limited companies were found in Table B of the *Joint Stock Companies Act* 1856 (UK). The model articles were renamed “Table A” in the *Companies Act* 1862 (UK), and this terminology continued up to and including the *Companies Act* 1985 (UK) (Companies House 2015).

⁹⁶ *Companies Act* 1862 (UK) s 71.

⁹⁷ *Id.* ss 14 and 15.

It is interesting to note that, from the mid-19th century onwards, model articles in the United Kingdom contained robust participatory rights for shareholders. The model articles in the Joint Stock Companies Act 1856, for example, included provisions to the following effect:- any number of shareholders with an aggregate of not less than 20% of shares could requisition the directors to convene an extraordinary general meeting (Art. 25); any shareholder could submit resolutions by giving at least 3 days notice (Art. 29); shareholders could at any time remove a director from office by special resolution and appoint a replacement (Art. 62); any two shareholders could summon an extraordinary general meeting at any time.⁹⁸

Similarly, the model articles of the Companies Act 1862, which is regarded by many as the first modern piece of UK company law (Nolan 2006, 98), provided shareholders with various participatory rights. These “Table A 1862” articles vested managerial power in the board of directors, though subject to any powers that the Act or articles conferred on the shareholders in the general meeting (Art. 55). Specific powers granted to shareholders by the articles included the ability to schedule “ordinary” or annual general meetings (Arts 30, 33) and the ability of 20% of members to requisition directors to convene an extraordinary general meeting (Art. 32).⁹⁹ Where the directors failed to comply with this requisition within 21 days, the same number of shareholders could convene an extraordinary general meeting themselves (Art. 34). The 1862 Act provided a default rule permitting five members to summon meetings, in the absence of any articles dealing with the issue (s 52). Several provisions of Table A 1862 limited directors’ discretion by making their power to act conditional on shareholder approval. Shareholder consent was a necessary precondition to board action to increase capital (Art. 26) or declare a dividend (Art. 72).

Table A 1862 provided for staggered board terms (Art. 58). Staggered boards have a poor reputation in modern corporate governance literature due to their alleged ability to insulate directors (Bebchuk et al 2002, 919; *cf* Cremers and Sepe 2016), because shareholders can only remove directors of staggered boards “for cause” under Delaware law.¹⁰⁰ However, the staggered term in Table A 1862 would not operate in the same way, since shareholders could,

⁹⁸ *Id*, Form C, Memorandum of Association, 7th.

⁹⁹ *Cf* Article 25 of Table B of the 1956 Act, where the precondition for requisitioning an extraordinary general meeting was based on a percentage of shares held, rather than number of members.

¹⁰⁰ Under Delaware corporate law, shareholders can only remove directors of staggered boards “for cause”. See Del. Code Ann. Tit. 8, s 14(k)(1).

under Article 65, remove any director from office by special resolution.¹⁰¹ Later iterations of Table A articles would provide shareholders even stronger rights, by empowering them to remove a managing director from office.¹⁰²

The Companies Act 1862 sent mixed messages with regard to shareholder voting.¹⁰³ The Act itself established a per capita voting blueprint – it provided that, absent a specific provision in the articles, “every Member shall have One Vote” (s 51). However, a different voting regime applied under the model articles. Article 44 of Table A 1862 adopted a graduated voting model (Hansmann and Pargendler 2014, 951-2).¹⁰⁴ The Companies (Consolidation) Act 1908 brought more consistency to shareholder voting, establishing a share/one vote default rule for a poll under both the Act (s 67(iv)) and the model articles (cl 60).¹⁰⁵

Of course, the model articles under UK company law were default rules only. The question therefore arises – did companies actually adopt them, thereby including strong shareholder participation rights in their own constitutions? There is mixed, and at times conflicting, historical scholarship on this issue. Some scholars (e.g. Foreman-Peck and Hannah 2015) argue that UK companies in the early 20th century voluntarily adopted robust shareholder rights. Others (eg Guinnane et al 2014) argue, to the contrary, that the contractual freedom embodied in the articles of association was actually used over time to dilute shareholder rights and to shift the balance of power in UK companies in favor of directors.

It is difficult to assess these competing claims, because, as noted by one group of authors (Guinnane et al 2014), the studies are based on completely different groups of companies. Nonetheless, both studies are interesting and revealing. The study by Guinnane et al suggests that at least for some rights, a high proportion of companies adopted Table A articles. It finds, for example, that a large majority (76.2%) of companies in its 1892 sample followed the Table A article granting shareholders power to remove directors by special resolution. Also,

¹⁰¹ Today, this is a statutory right, under both UK and Australian corporate law which cannot be altered in the constitution or by agreement. See Companies Act 2006 c. 46 s 168(1) (U.K.); Corporations Act, 2001 s 203D (Austl.).

¹⁰² See, for example, Article 72, Companies Consolidation Act 1908, First Schedule, Table A.

¹⁰³ For a detailed analysis of early voting rights in the United States, see Hansmann and Pargendler 2014.

¹⁰⁴ The tiered voting model found in Article 44 Table A 1862 conferred one vote per share for the first ten shares held; with one vote for every five shares thereafter up to 100 shares; and beyond that, one vote for every ten shares (Art. 44).

¹⁰⁵ Art. 60 Table A (1908).

12 out of 54 in the sample did not have any articles on file, which *prima facie* suggests wholesale adoption of the model articles.

Further incentives to comply with the model articles were created by revisions to 1908 UK Companies Act Table A articles. The revisions created a link between the model articles and London Stock Exchange Listing Rules. Companies adopting the former would automatically comply with the latter (Guinnane et al 2014, 36). The model articles therefore served as an important benchmark against which individual companies' articles could be assessed and evaluated.

However, it is also likely that there is at least some truth in Guinnane et al's assertion that some power shifts in favor of directors occurred in the articles of public companies during this early company law period. The authors cite an 1894 investment guide, which warned potential investors to review a company's articles of association carefully in advance to ensure that they did not deprive the shareholders of "their just rights" by "unrestrictedly vesting in the directors all the powers of the company".¹⁰⁶ What is noteworthy about this investor warning is that it treated dilution of shareholder rights as a perversion of good governance, rather than accepting this as an appropriate allocation of power.

Furthermore, because Guinnane et al's study is restricted to an examination of the articles of association, it ignores the broader corporate governance setting, specifically the rise in juridification in the United Kingdom during this period. From the early 20th century onwards, there was increasing reliance on mandatory statutory provisions, which either prohibited certain practices according shareholders certain participation rights (Nolan 2006, 103-105).

These mandatory statutory provisions operated against the backdrop of a free contracting environment under UK company law. The provisions both complemented and trumped the articles of association. The 1900 UK Companies Act, for example, introduced a mandatory statutory rule granting shareholders with 10% or more of the company's issued capital the right to convene a general meeting.¹⁰⁷ This suggests that a significant number of companies failed to include analogous Table A rights in their articles of association (Nolan 2006, 103, n. 55), thereby prompting the legislature to introduce them as mandatory rules. These legislative

¹⁰⁶ Guinnane et al 2014, 33 (citing Walker and Watson 1894, 143).

¹⁰⁷ Companies Act 1900 (UK) s 13 [check].

gap fillers provided one-way flexibility – the articles of association could increase, but not decrease, the shareholder protection provided by the statutory rule.¹⁰⁸

Another clear example of the impact of the divergent origins of UK and US corporate law is in relation to exculpation clauses (Conaglen and Hill 2016). US corporations required statutory permission to include exculpation clauses in relation to breach of the duty of care, including gross negligence, in their charters. That “enabling” legislation appeared only in 1986, when Delaware enacted Del GCL § 102(b)(7) as a rapid regulatory response to *Smith v Van Gorkom*.¹⁰⁹

In the United Kingdom, as a result of its free contracting background, exculpation (or exoneration) clauses were common in the articles of incorporation of public companies from the early 20th century onwards (providing further support to Guinnane et al’s argument that power shifts in favor of directors occurred in the articles of public companies during this period). However, contrary to the approach of many US states in explicitly authorizing such clauses, the United Kingdom viewed them as pernicious, and in 1928, introduced a mandatory statutory provision to prohibit and invalidate any provision exempting directors from liability for breach of duty, including negligence.¹¹⁰

8. Conclusion

US and UK corporate law have therefore followed quite different paths from the early 20th century onwards. US law shifted from a rigid corporate law system, which evolved from chartered corporations, to a far more liberal and flexible system, but a system in which corporate managers held the reins of corporate power and where the participatory role of

¹⁰⁸ For example, under *Companies Act* 1947 (UK), s 2, default rules regarding the length of notice for general meetings became mandatory minimum rules, which could be increased, but not decreased in the company’s articles (Nolan 2006, 104).

¹⁰⁹ See generally Hanks, ‘Evaluating Recent State Legislation on Director and Officer Liability Limitation and Indemnification’ (1988) 43 *Bus Law* 1207, 1208-1209. The enactment of Del GCL § 102(b)(7) was also in response to a directors’ liability insurance crisis See id, 1209; Holland, ‘Delaware Directors’ Fiduciary Duties: The Focus on Loyalty’ (2009) 11 *U Penn J Bus L* 675, 691.

¹¹⁰ This reform was based on recommendation of the UK Greene Committee. See Board of Trade, United Kingdom, *Report of the Company Law Amendment Committee 1925-1926* (Greene Committee) (Command Paper 2657, 1926), [46]-[47]. The Greene Committee, was scathing in its assessment of exculpation clauses, stating:- “We consider that this type of article gives a quite unjustifiable protection to directors. Under it a director may with impunity be guilty of the grossest negligence provided that he does not consciously do anything which he recognises to be improper”. *Id*, [46].

shareholders in US corporate governance was diminished. The United Kingdom, on the other hand, shifted from a “free contracting” position, which evolved from the unincorporated joint stock company, to a system, where shareholders received stronger rights as a result of mandatory participatory rights and protections under statute. These different trajectories arguably go some way to explaining why activism first developed in the United States and why it continues to be such a controversial issue today.

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